MINOR PROJECT 6
ACQUISITION VALUATION
Company A considering the acquisition of Company B

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Objective and case background

The objective is to understand how a evaluates a company before a possible acquisition. In this case, Company A is considering acquiring Company B. The first step is to use the financial figures provided to estimate profitability and equity value.

Figures given in the assignment

Particulars	Company A	Company B
Revenue	₹200 crore	₹100 crore
Net profit	₹20 crore	₹10 crore
Assumed P/E ratio	12×	15×

Task 1: Calculate net profit margin

Net profit margin shows how much of a company's revenue remains as net profit after expenses and taxes. It is useful for comparing profitability between companies of different sizes. A higher margin can indicate better cost control or stronger pricing, although the reason should be checked from the company's accounts.

Formula and calculation

Net profit margin = (Net profit ÷ Revenue) × 100

Company	Calculation	Net profit margin
Company A	(₹20 crore ÷ ₹200 crore) × 100	10%
Company B	(₹10 crore ÷ ₹100 crore) × 100	10%

What the result means

Both companies have a net profit margin of 10%. In simple terms, each company retains ₹10 as net profit for every ₹100 of revenue. Company A has higher revenue and higher total net profit, but its margin is not higher than Company B's based on the figures given.

Investor recommendation:

Do not prefer one company based on margin alone because both report the same 10% margin. Review several years of margins, cash flow and the quality of reported profit before making a decision.

Task 2: Estimate equity value using the P/E ratio

Theory

The price-to-earnings (P/E) ratio compares a company's share price with its earnings per share. In a simplified valuation exercise, net profit multiplied by a P/E multiple gives an estimate of the company's equity value. A higher P/E means investors are valuing each rupee of earnings more highly. It may reflect expected growth, lower perceived risk or market sentiment, but the multiple alone does not prove that a company is better.

Formula and calculation

Estimated equity value = Net profit × Assumed P/E ratio

Company	Calculation	Estimated equity value
Company A	₹20 crore × 12	₹240 crore
Company B	₹10 crore × 15	₹150 crore

What the result means

Company A's estimated equity value is ₹240 crore, while Company B's estimated equity value is ₹150 crore. Company B has a higher assumed P/E ratio of 15×, compared with 12× for Company A, even though Company B has lower revenue and net profit. The data does not explain why the multiples differ, so no specific growth or risk advantage should be assumed.

Investor recommendation:

Treat these figures as a first estimate only. Before accepting either multiple, compare both businesses with similar companies and check earnings stability, future growth prospects, debt, cash flow and any unusual items in net profit. These details are not provided in the case.

Task 3: Combined estimated equity value before synergies

Theory

Before synergies, the combined estimated equity value is calculated by adding the separate equity values of the two companies. Synergies are additional benefits that may arise after the acquisition, such as cost savings or extra revenue. They are not included in the calculation below because the assignment asks for the value before synergies.

Calculation

Combined estimated equity value before synergies =

Equity value of Company A + Equity value of Company B

₹240 crore + ₹150 crore = ₹390 crore

Therefore, the combined estimated equity value before synergies is ₹390 crore, using the assumptions in the assignment.

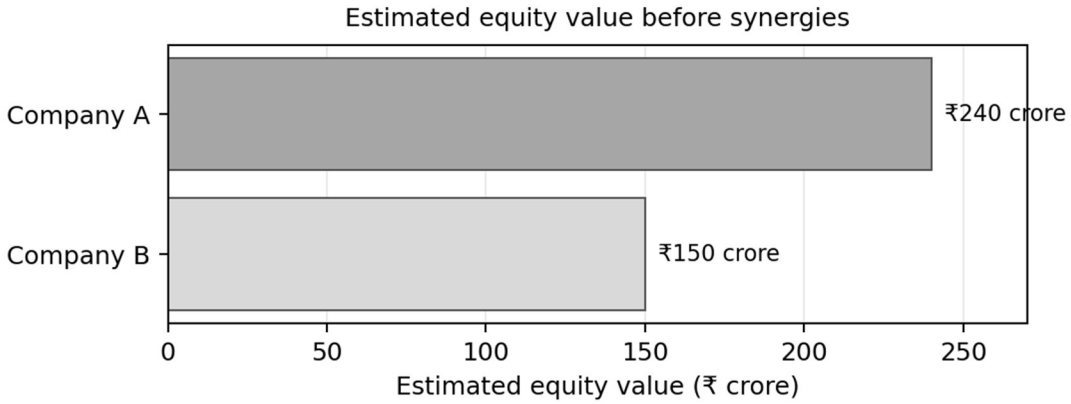


Figure 1. Estimated equity values calculated from the net profits and assumed P/E ratios in the assignment.

Investor recommendation:

Use ₹390 crore as a starting reference, not as a confirmed offer price. A final deal assessment should also consider any acquisition premium, debt and cash, transaction costs, the funding method and the likelihood of achieving synergies. These items are not included in the case figures.

Task 4: Two benefits and one risk of the acquisition

Benefit 1: Larger business scale and access to customers

If Company B brings customers, distribution channels or markets that Company A does not currently serve, the acquisition could expand the combined business. A larger customer base may create opportunities to sell more products or services. However, the case does not provide details about either company's industry or customer base, so this benefit must be tested during due diligence.

Investor recommendation:

Check customer retention, customer concentration, product overlap and whether Company A can realistically sell more to Company B's customers without harming existing relationships.

Benefit 2: Potential cost savings

The companies may be able to reduce duplicated costs by combining support functions, technology systems, offices or supplier arrangements. Any savings can improve future profitability, but the amount and timing should be supported by a clear plan. Savings should not be added to the valuation until there is a reasonable basis for estimating them.

Investor recommendation: Prepare a cost-saving plan that identifies each saving, the person responsible, the expected timing and the one-time cost needed to achieve it. Use conservative estimates rather than assuming that every possible saving will occur.

Risk: Integration risk

After an acquisition, differences in systems, processes, company culture and management practices can make integration difficult. The process may take longer or cost more than expected. Customers or employees may also leave if the transition is poorly managed. If integration fails, the expected benefits may not be achieved and the buyer may have paid too much.

Investor recommendation: Before proceeding, require an integration plan with clear responsibilities, timelines, estimated costs and steps to protect key customers and employees. The valuation should remain acceptable even if synergies are lower or slower than expected.

Conclusion

Based on the figures provided, both companies have a 10% net profit margin. Applying the assumed P/E ratios gives an estimated equity value of ₹240 crore for Company A and ₹150 crore for Company B. Their combined estimated equity value before synergies is ₹390 crore. The acquisition could create value through a larger business and possible cost savings, but these benefits are not guaranteed and integration could be difficult.

Overall Investor recommendation

The acquisition may be worth further investigation, but the available figures are not enough to recommend an immediate purchase. Company A should first complete financial, commercial, legal and operational due diligence. The investment team should verify the quality of earnings, debt and cash position, future cash flows, customer relationships, likely integration costs and realistic synergies. It should then compare the proposed purchase price with the estimated value and set a maximum price it is willing to pay. The ₹390 crore figure is an estimate before synergies, not a confirmed acquisition price.